Asia's Evolving Economic Landscape

Bangkok: Asia in 2050

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Conclusion

1. The past
2. “3 shocks”
3. Navigation

The past

Asia's remarkable and unexpected success

	1990	2023
GDP per capita (USD 1k)	1.6	9.1
Contribution to global growth	1/4	2/3
GDP (USD tn)	55.5	49
Population (bn)	3.2	4.4
Working age (bn)	2.0	2.8
Employment (bn)	1.6	2.2
Extreme poverty	52%	6.5%
Life expectancy	66	75
Literacy	71%	91%

Table 1: Source: Author's calculations from IMF, World Bank WDI, UNESCO, UN World Population, ILO

- Despite 1997, 2003, 2008, 2020, ...
- GDP per capita $> 5\%$ per year
- GDP $> 7\times$
- Extreme poverty from over $1/2$ to $1/16$
- Literacy rise by 20 percentage points
- Life expectancy increase by a decade
- Dependency ratio constant at 36–37% ...
  - ... but sharp NE vs S
  - ... and employment faltered, so non-working working-age from 0.4bn to 0.6n
  - India working-age population rise was $2\times$ employment's

Asia is many small states

Population	Median (mn)	Mean-Median ratio	Top 10%
Asia-Pacific 1990	19	4.2	71%
Asia-Pacific 2023	30	3.5	77%

Table 2: Asia is many small states. Source: Author's calculations from IMF WEO, UN World Population Prospects

- Small states make up most of the Asia-Pacific.
- The world as a whole even more so, with 1990 mean-median ratio 6 in 1990, 4.2 in 2023

Asia small states' economic prospects

Correlation	1990	2023
Population, GDP per capita	−0.45	−0.20

Table 3: Asia — The dynamic effects of size. Source: Author's calculations from IMF WEO, UN World Population Prospects

- Correlation negative, falling over time
- Some rich small economies still, but Asia's story in the modern era is that of large nations succeeding
- Hausmann complexity. Diversity. R&D. National champions through industrial policy
- Small states' "too much, too little"

Shocks

“3 Shocks”

The Multilateralism Shock

- Level playing field; Peaceful dispute resolution; norm of cooperation
- ...vs “Might makes right”
- 2019–2022 three-fold rise in individual nation-imposed restrictions on international trade

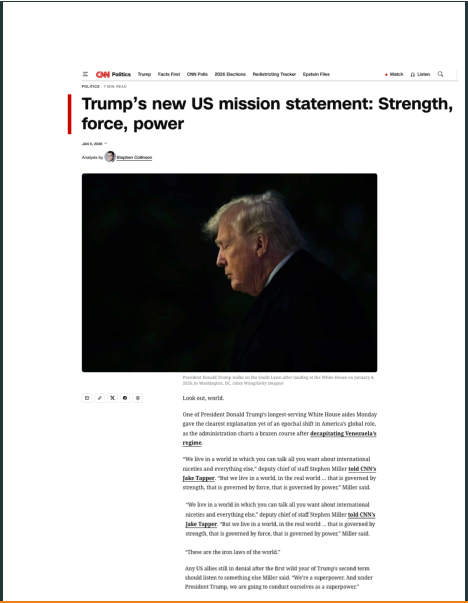
The China Shock (Supply)

- Comparative advantage theory remains. Cost of living eased. Global South EVs
- Consumers vs business. Size, scale, speed
- Jobs, industry, middle-class communities
- Indonesia’s China imports 10% in 2003 to 40% in 2023; Thailand’s 10% to 35%

The US Shock (Demand)

- Architect turned disruptor
- Decline in unipolarity and of Kindleberger hegemonic stability
- Multilateralism’s success and the unfavorable cost-benefit ratio dynamics to benevolent hegemony
- “We’re the superpower...”

“We’re the superpower”



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POLITICS 7 MIN READ

Trump’s new US mission statement: Strength, force, power

Jan 4, 2026

Analysis by Stephen Collinson

President Donald Trump walks on the South Lawn after landing at the White House on January 4, 2026, in Washington, DC. Jabin Botsford/Getty Images

Look out, world.

One of President Donald Trump’s longest-serving White House aides Monday gave the clearest explanation yet of an epochal shift in America’s global role, as the administration charts a brazen course after **decapitating Venezuela’s regime**.

“We live in a world in which you can talk all you want about international niceties and everything else,” deputy chief of staff Stephen Miller **told CNN’s Jake Tapper**. “But we live in a world, in the real world … that is governed by strength, that is governed by force, that is governed by power,” Miller said.

“We live in a world in which you can talk all you want about international niceties and everything else,” deputy chief of staff Stephen Miller **told CNN’s Jake Tapper**. “But we live in a world, in the real world … that is governed by strength, that is governed by force, that is governed by power,” Miller said.

“These are the iron laws of the world.”

Any US allies still in denial after the first wild year of Trump’s second term should listen to something else Miller said. “We’re a superpower. And under President Trump, we are going to conduct ourselves as a superpower.”

- Sphere of influence. Varied territorial acquisition
- Liberation Day Tariffs, 180 economies
- “We’re the superpower.” MAGA. America First
- Versus reality for the American people: “Might Makes Right” does not stop just outside national borders

Navigation

Economic Diplomacy vs Economic Statecraft

1. Thucydides and small-state agency
   - Economic statecraft is a “means of working the US’s geopolitical will in the world” (Blackwill and Harris, 2016)
   - Economic diplomacy for small states
2. Economic security: Maximise economic efficiency subject to calibrated risk of disruption in essential supplies from international shocks and inadequate domestic capacity

Small state strategy

Align

- Choose a side. Convex hull.
- Long-run commitment
- Optimal if the world zero-sum

Acquiesce

- Appease. Placate.
- Is the major power clear in its objectives? Is its leader mercurial?
- Cheap-talk signalling
- Short-run stabilisation

Adapt and Mitigate

- Counterpart responses to global climate crisis
- Domestic resilience
- Plurilateral networks for inadvertent cooperation: MPIA, CPTPP, RCEP, ASEAN, FIT-P
- Incentive-compatible pathfinder multilateralism
- ... or, more generally, G-minus

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